

RU final- mine

1 (a) 5

▼ Define Management? List the Henry Foyal's 14 principle of management
#revised-1

Management is the process of planning, organizing, directing, and controlling resources to achieve organizational goals and objectives effectively and efficiently.

Henri Fayol's 14 Principles of Management are:

1. **Division of work**: Specialization allows workers to become more efficient.
2. **Authority and responsibility**: Managers have the right to give orders, and employees have the responsibility to follow them.
3. **Discipline**: Rules and sanctions are necessary to maintain a fair and productive workplace.
4. **Unity of command**: Employees should only receive orders from one manager to avoid confusion.
5. **Unity of direction**: Everyone in the organization should be working towards the same goal.
6. **Subordination of individual interest to general interest**: The interests of the organization come before the interests of any individual employee.
7. **Remuneration**: Employees should be fairly compensated for their work.
8. **Centralization**: The degree to which decision-making authority is concentrated in the hands of top management.
9. **Scalar chain**: A hierarchical structure where communication flows up and down the chain of command.
10. **Order**: Everything should have its place, and everyone should have what they need to do their job.

11. **Equity**: Managers should be fair and impartial when dealing with employees.
12. **Stability of tenure of personnel**: Employees should be given job security to reduce turnover and increase productivity.
13. **Initiative**: Employees should be encouraged to take initiative and propose new ideas.
14. **Esprit de corps**: Building team spirit and unity among employees to create a sense of belonging and commitment.

1 (b) 5

- ▼ What is motivation? Describe Maslow's Hierarchy Of Needs Theory? **#revised-1**

Motivation can be defined as an internal state of mind that drives a person to take action towards a goal. It is the driving force that influences behavior, actions, and attitudes towards achieving desired outcomes.



Maslow's hierarchy of needs

1. **Physiological Needs:** Maslow considered physiological needs to be the most essential of our needs. If someone is lacking in more than one need, they're likely to try to meet these physiological needs first. For example, if someone is extremely hungry, it's hard to focus on anything else besides food.
2. **Safety Needs:** Once people's physiological requirements are met, the next need that arises is a safe environment. Maslow pointed out that in adults living in developed nations, safety needs are more apparent in emergency situations but this need can also explain why we tend to prefer the familiar or why we do things like purchase insurance and contribute to a savings account.
3. **Social Needs:** According to Maslow, the next need in the hierarchy involves feeling loved and accepted. This need includes both romantic relationships as well as ties to friends and family members. It also includes our need to feel that we belong to a social group. For example, having

social connections is related to better physical health and, conversely, feeling isolated has negative consequences for health and well-being.

4. **Esteem Needs:** Our esteem needs involve the desire to feel good about ourselves. The first involves feeling self-confidence and feeling good about oneself. The second component involves feeling valued by others. When people's esteem needs are met, they feel confident. However, when their esteem needs are not met, they may experience what psychologist Alfred Adler called "feelings of inferiority."
5. **Self-Actualization Needs:** Self-actualization means feeling that we are doing what we believe we are meant to do. According to Maslow, achieving self-actualization is relatively rare, and his examples of famous self-actualized individuals include Abraham Lincoln, Albert Einstein, and Mother Teresa.

2 (a) 3

▼ What is business? What are the features of business? **#revised-1**

Business is an organized effort where people create, sell, or provide goods and services to meet the needs and wants of customers. The goal is to make a profit by generating more revenue (money from sales) than expenses

Features of Business:

1. Businesses aim to earn profits by selling goods or services above production costs.
2. Businesses involve exchanging products/services for money, creating transactions.
3. Entrepreneurs drive businesses, making decisions and taking risks.
4. Structured management ensures efficiency, resource coordination, and decisions.
5. Many businesses are separate legal entities, providing legal protection.
6. Success relies on satisfying customer needs and delivering value.
7. Businesses generate employment, contribute to growth, and development.

2 (b) 4

- ▼ Briefly describe the advantage and disadvantage of Joint Stock companies
#revised-1

Advantages and Disadvantages of Joint Stock Companies:

Advantages	Disadvantages
1. Limited Liability: Shareholders are liable only for their invested amount.	1. Complexity: Legal formalities and regulations can be intricate.
2. Capital Formation: Can raise significant capital by issuing shares.	2. Public Scrutiny: Financial details are public, leading to transparency but also vulnerability.
3. Transferable Shares: Shares can be bought and sold, enhancing liquidity.	3. Management Issues: Conflicts among shareholders and management can arise.
4. Professional Management: Skilled managers can be hired for efficient operations.	4. Divided Control: Many shareholders can make decision-making cumbersome.
5. Risk Sharing: Losses are divided among shareholders, reducing individual risk.	5. Short-term Focus: Pressure to deliver quick profits may hinder long-term planning.
6. Growth Potential: Allows expansion and diversification due to access to capital.	6. Market Fluctuations: Share prices are subject to market volatility.

2 (c) 3

- ▼ Distinguish between public limited and private limited company #revised-1

Aspect	Public Limited Company	Private Limited Company
Ownership	Shares are publicly traded.	Shares are privately held.
Number of Shareholders	Must have a minimum number of shareholders	Can have a smaller number of shareholders
Public Offering of Shares	Shares can be offered to the public through stock exchanges.	Trading is restricted.

Transferability of Shares	Shares can be freely bought and sold in the stock market.	Needs approval from other shareholders
Privacy of Financial Details	Financial details are more public due to regulatory requirements.	Financial details are more confidential and shared among fewer stakeholders.

3 (a) 2

▼ Define industry and commerce?

Industry: Industry refers to the production and manufacturing of goods and services. It involves using raw materials and transforming them into finished products through various processes. For example, automobile manufacturing, textile production, and software development

Commerce: Commerce refers to the exchange of goods and services. It includes activities such as advertising, marketing, retailing, and distribution. It involves the exchange of goods and services between producers and consumers or between different businesses.

3 (b) 4

▼ Briefly describe Internal environment of Business

Internal Environment of Business:

The internal environment of a business refers to the factors and conditions within the organization that influence its operations, performance, and overall success. These factors are under the direct control and influence of the management. Here's a brief overview:

1. **Organizational Structure:** The arrangement of roles, responsibilities, and relationships among employees. It determines how authority and information flow within the organization.
2. **Corporate Culture:** The shared values, beliefs, norms, and behaviors that shape the work atmosphere and guide employee interactions. It affects motivation, decision-making, and overall work ethic.

3. **Leadership Style:** How leaders manage, communicate, and influence their teams. Leadership sets the tone for the organization's approach and direction.
4. **Human Resources:** The quality of the workforce, including skills, expertise, and motivation. Effective management of employees ensures productivity and job satisfaction.
5. **Operations and Processes:** The efficiency and effectiveness of internal processes, from production to customer service. Streamlined operations lead to cost savings and customer satisfaction.
6. **Technology:** The tools and systems used to perform tasks. Utilizing the right technology can improve efficiency and competitiveness.
7. **Financial Resources:** How well financial resources are managed, allocated, and controlled. Proper financial management ensures sustainability and growth.
8. **Innovation:** The organization's ability to adapt, create new ideas, and stay ahead in a changing market. A culture of innovation fosters growth.
9. **Ethics and Values:** The adherence to ethical standards and core values. An ethical business creates trust and credibility among stakeholders.
10. **Communication Channels:** How information is shared within the organization. Effective communication prevents misunderstandings and enhances teamwork.
11. **Marketing and Sales Strategies:** How the organization promotes and sells its products or services. Effective marketing strategies help attract and retain customers.

3 (c) 4

▼ Describe different types of industry in brief

Industry refers to the production and manufacturing of goods and services. It involves using raw materials and transforming them into finished products through various processes. For example, automobile manufacturing, textile production, and software development

Industries can be classified in various ways based on different criteria. Here are some of the common classifications of industries:

1. **Primary Industries:** These industries extract raw materials from nature. For example agriculture, fishing, forestry, and mining.
2. **Secondary Industries:** These industries transform raw materials into finished goods. Examples include manufacturing, construction, and energy production.
3. **Tertiary Industries:** These industries are service-based that provide services to individuals and businesses. For example banking, healthcare, education, and hospitality.
4. **Quaternary Industries:** These are knowledge-based industries that involve research and development. Examples include biotechnology, software development, and telecommunications.
5. **Heavy Industries:** These are industries that involve heavy machinery and equipment such as steel production, shipbuilding, and mining.
6. **Light Industries:** These are industries that involve light machinery and equipment such as textiles, electronics, and food processing.
7. **Sunrise Industries:** These are new and emerging industries that are expected to grow rapidly in the future. For example renewable energy, robotics, and artificial intelligence.
8. **Sunset Industries:** These are declining industries that are no longer profitable or relevant in today's economy. Examples include typewriter manufacturing, film photography, and VHS tape production.

4 (a) 4

▼ What is accounting? Identify and describe the steps in the accounting process?

Accounting is a process of identifying, measuring, and communicating financial information about an organization's economic activities to different stakeholders. It involves the collection, recording, analysis, and interpretation of financial data.

The steps in the accounting cycle are:

1. Analyze Transactions: This step involves identifying and recording all transactions that affect the financial position of the business.
2. Record Transactions in Journal: In this step, transactions are recorded in the chronological order of the occurrence in the journal.
3. Post to Ledger: After recording the transactions in the journal, they are posted to the respective ledger accounts.
4. Prepare Unadjusted Trial Balance: The total of all the ledger balances is prepared to check that debits and credits are equal.
5. Adjusting Entries: Entries are made to record accrued and deferred items.
6. Prepare Adjusted Trial Balance: An adjusted trial balance is prepared after recording the adjusting entries to ensure that the debits and credits are equal.
7. Prepare Financial Statements: Financial statements are prepared to show the financial position and performance of the business.
8. Closing Entries: Temporary accounts are closed by making the closing entries to transfer the balance to the capital account.
9. Prepare Post-Closing Trial Balance: After the closing entries are made, a post-closing trial balance is prepared to ensure that the ledger is in balance.
10. Reversing Entries (Optional): Reversing entries are made to cancel the adjusting entries made in the previous period.

4 (b) 2

▼ Differentiate between fixed cost and variable cost?

Definition	A cost that does not change in proportion to the level of output	A cost that changes in proportion to the level of output
Impact on Profit	Does not affect profit directly.	Affects profit directly.
Nature	Remains constant as the level of output changes.	Increases as the level of output increases.
Examples	Rent, insurance, salaries of permanent staff.	Raw materials, labor for production, utilities.

4 (c) 4

▼ Beximco Company has a unit selling price of TK. 400. Variable costs per unit of TK. 260, and fixed costs of Tk. 210,000. Compute the break-even point in units and in Taka. Compute the sales required in Taka to earn net income of Tk. 200,200.

Given,

Selling Price per unit = 400 TK

Variable cost = 260 TK

Fixed Cost = 210,000 TK

Desired Net Income = 200,200 TK

Now,

Contribution Per Unit = (Selling Price per unit - Variable cost per unit)

$$= (400 - 260) \text{ TK}$$

$$= 140 \text{ TK}$$

$$\therefore \text{B.E.P in units} = \frac{\text{Fixed Cost}}{\text{Contribution Per Unit}}$$

$$= \frac{F}{C} = \left(\frac{210,000}{140} \right) \text{ Units}$$

$$= 1500 \text{ Units}$$

$$\therefore \text{B.E.P in taka} = \frac{F}{C} \times S$$

$$= \frac{210,000}{140} \times 400$$

$$= 6,00,000$$

To verify this

↓

$$\text{Total Cost} = \text{Fixed Cost} + \text{Variable Cost} \times (\text{B.E.P unit})$$

$$= 210,000 + 260 \times 1500$$

$$= 6,00,000$$

Handwritten calculation showing the formula for the sale price of an asset to achieve a desired net income:

$$\text{Sale for desired net income} = \frac{\text{Desired Net Income} + \text{Cost}}{1 - \frac{\text{Variable Costs}}{\text{Selling Price}}}$$

The calculation shows a desired net income of 210,000 and a cost of 200,200. The variable costs are 260 and the selling price is 400. The final result is 1172,000.

5 (a) 2

- ▼ What is accounting equation? Briefly describe liabilities and owner's equity?

The accounting equation, also known as the balance sheet equation, is a fundamental principle of accounting that represents the relationship between a company's assets, liabilities, and equity. The equation states that:

$$\text{Assets} = \text{Liabilities} + \text{Equity}$$

Liabilities:

These are claims against a company's assets by creditors, and they represent the company's responsibilities to repay borrowed funds or fulfill contractual obligations. Examples of liabilities include loans payable, accounts payable to suppliers

Owner's Equity:

It represents the portion of the company that belongs to the owners, considering their investments and retained earnings.

5 (b) 8

Barone's Repair Shop was started on May 1, 2022 by Nancy Barone

A summary of May transactions is presented below.

1. Invested \$10,000 cash to start the repair shop
2. Purchased equipment for \$5,000 cash

3. Paid \$400 cash for May office rent
4. Paid \$500 cash for supplies
5. Incurred \$250 of advertising costs in the Beacon News on account
6. Received \$5,100 in cash from customers for repair service
7. Withdrew \$1,000 cash for personal use
8. Paid part-time employee salaries \$2,000
9. Paid utility bills \$140
10. Provided repair service on account to customers \$750
11. Collected cash of \$120 for services billed transaction (10)

Instructions

- ▼ (a) Prepare a tabular analysis of the transactions, using the following column headings: Cash, Accounts Receivable, Supplies, Equipment, Accounts Payable, N. Barone, Capital; N. Barone, Drawings; Revenues, and Expenses

Tabular Analysis For The Month of May										
Serial No.	cash	A/c Receivable	Supplies	Equipment	Res	A/c Payable	N. Barone capital	N. Barone Drawings	Revenues	Expenses
1	10,000						10,000			
2	(5,000)			5,000						
3	(400)									(400)
4	(500)		500							
5						250				(250)
6	5,100								5,100	
7	(1,000)							(1,000)		
8	(2,000)									(2,000)
9	(140)	750							750	(140)
10		750							750	
11	120	(120)								
Total: 12310						Total: 12310				

▼ (b) From an analysis of the owner's equity columns, compute the Owner's Equity Statement an Income Statement for May, 2022

Income Statement
Barone's Repair Shop
For The Month of May

Particular	Tk	Tk
<u>Revenues</u>		
Service Revenue	5,100	
Service on a/c	75,000	5850
<u>Expenses</u>		
office rent	400	
advertising on a/c	250	
Salaries	2000	
Utility Bill	140	2790
Net Income		<u>3060</u>

Owner's Equity
Barone's Repair Shop
For The Month of May

Particular	Tk	₹
Initial ^{capital} investment		
Investment	10,000	
Net Income	3060	
With draw	(1000)	
Owner's Equity	12060	

6 10

Dr. Sayed Ahmed is a licensed dentist. During the first month of the operation of his business, the following events and transactions occurred.

April 1 Invested \$40,000 cash

April 1 Hired a secretary-receptionist at a salary of \$600 per week payable monthly

April 2 Paid office rent for the month \$1,000

April 3 Purchased dental supplies on account from Smile Company \$4,000

April 10 Provided dental services and billed insurance companies \$5,100

April 11 Received \$1,000 cash advance from Laz Pharma for an implant

April 20 Received \$2,100 cash for services completed and delivered to John Abbas

April 30 Paid secretary-receptionist for the month \$2,400

April 30 Paid \$1,600 to Smile Company for accounts payable due

Sayed Ahmed uses the following chart of accounts: No. 101 Cash, No. 112 Accounts Receivable, No. 126 Supplies, No. 201 Accounts Payable, No. 205 Unearned Revenue, No. 301 Sayed Ahmed, Capital; No. 400 Service Revenue, No. 726 Salaries Expense, and No. 729 Rent Expense.

Instructions

- (a) Journalize the transactions
- (b) Post to the ledger accounts (Using T account)
- (c) Prepare a trial balance on April 30, 2022

▼ Answer